. +$0 $' ,
(1* / ,6+

NKDP DGL RQQQH

% &

/ DZ 9 RFDE XQDU

(QJ QDVK RUZ HJ DQBURI HVVLRQDOY

δ ϕ΄Υρ ϊ ΤΤΤΥυβ΄ΥυΟ΄ωϕύωύ Fϊ ΤΤΚυΟ΄βϊ Κ΄ΤΤΚυΟΥυΥυΥψβύώΤΤΚΥθ΄΄ΥΥΥ

δφϊ ωύτβΎχύϊ

Ωυ ΥΥΫώ□ΩFϊ φΥύΚ□ΎΖχυχΫχυϊ χ□Κβω□Fϊ χΩω□βϊ Κτύ□Κ□Ω□ρ ύΥυΥτΎχΎψΎ□τϊ Κχ΄Υφυ□
φυΥΚΎχτΚΎΖ□ωϊ β΄Υ□φΫΥΚύ□Κυ□ΫύχυβυΩΫφυχβϊ Υύϊ □φύτΚυθύ□ύ□Κ΄Υφ□Ϋ΄Υφυχύχ΄ΥΫϊ
ρ ύΥυΥτΫ□

δ΄Υ□ύυχϊ φƒ ϊ Υύύ□Κ□Ωφτω□χΫ□τθΎ ϊ χϊ □
□Υ Υυβύόύφ΄ΥχυχΫ□ρ ύΥυΥτΎχΫϊ □ύΥτχφΩθϊ Υχ΄Υ□Υυ□υΥψβύώτΚΎθ□Ωό΄ΥΚϊ
□□δ΄ΥΥύθυχΫ□ωϊ β΄ΥχΫϊ □Υ΄ΥχΎτχύ□%ΩRRP EHU□□5HXWMUV□□LQDQFLDO7LP HV
□□δφ΄ΥΖΎωύχΫ□τΎφϊ τϊ ω΄ΥχυΥύΩ□χ□ύΥχϊ τχύς ύ΄ΥΥΫΫΖ□φυΥΚυΖ□ύ□ρ ύΥυΥτΎχΫΖ
Κ΄ΥθΫυΥύΩΖ
□□Ξυφ΄Υχυχ□τΎρ ύΥυΥτΎχ΄Υώ□ω΄ΥΚΩθϊ Υχυς ύϊ ώ□θϊ ü ωΩΥυφ΄ΥωΥΫΖ□φΫΥΚ΄Υχ

7DEOH RI &RQWHQWV ψβ υχβ ϊ Υύϊ

0RGXOH 7KH) LQDQFLDO 6\VWHP
9RFDEXODU\
&DVH 6WXG\
&RPSOHWH &RVW &DU &RVW &DU &RVW &DU

0 2' 8/(7KH) LQDQFLDO 6\ VWHP

ι ύΥυΥΫΫχυ(ΫΫ ϖϊ ϑυ

/ HDUQLQJ 2EMHFWLYHV

- HVFULEH WKH VWUXFWXUH RI WKH QDQFLDO\ VWHP
- ([SODLQ WKH UROHV RI FHQWUDO DQNV DQG FRP PHUFLDO EDQNV
- LVWLQJ XLVK EHVZ HHQ QDQFLDO P DUNHWV DQG QDQFLDO LQVWUXXWLRQV
- 3VH QDQFLDO\ VWHP YRFDEXODU\ DFFXUDWHO

,QVWRGXFWLRQ Χχϊ ωϊ Υύϊ

7KH QDQFLDO\ VWHP LV WKH QHWZ RUN RI LQVWLXXWLRQV P DUNHWV DQG LQVWXP HQW WKDW FKDQQHOV IXQGV URP VDYHUV WR ERUURZ HUV DQG IDFLOWDWH HFRQRP LF DFWLYLW $ ZHOO IXQFWRQLQJ QDQFLDO\ VWHP LV HVVHQWDO RU HFRQRP LF URZ WK DQG WDEOLW

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7KHRU\ ηϊ ΄ΥΦϊ ϰύ Fϊ ϖΚύώ 9 υϰά φύυβ

6WXFWXUH RI WKH) LQDQFLDO 6\ VWHP

7KH QDQFLDO 6\ VWHP FRP SULVHV WKUHH LQWHUFRQQHFWHG FRP SRQHQWV

) ,1$1&,$/ ,167,787,216
%DQNV LQVXUDQFH FRP SDQLHV SHQVLRQ IXQGV DQG LQYHVWP HQW UP V DFW DV
QDQFLDO LQWHUP HGLDULHV WKH\ DFFHSW GHSRVLWV RU SUHP LXP V URP VDYHUV DQG
OHQG RU LQYHVW WKRVH IXQGV HDUQLQJ D P DUJ LQ RU HH

&HQWDO %DQNV H IWRQDO %DQN RI D DNKWDQ WKH 86) HGHUDO 5HVHUYH
WKH (XURSHDQ &HQWDO %DQN WWDQG DW WKH DSH[RI WKH EDQNLQJ \ VWHP 7KH\
VXH FXUUHQF\ DQG FRQWURO WKH P RQH\ VXSSO
6HWE HQFKP DUN LQWHUHVW LDWHV WKH SRQF\ LDWH
$ FWDV OHQGHU RI DVW HVRUW GXULQJ EDQNLQJ FULVHV
6XSHUYLVH FRP P HUFLDO EDQNV DQG P DLQWDLQ QDQFLDO WDELOLW
&RP P HUFLDO EDQNV WDNH GHSRVLW SURYLGH RDQV SURFHVV SD\ P HQW DQG R HU
QDQFLDO SURGXFW

) ,1$1&,$/ 0$5.(76
0DUNHW Z KHUH QDQFLDO LQWXP HQW DUH EXJ KW DQG VROG
0RQH\ P DUNHW VKRUW WHUP LQWXP HQW XQGHU \HDU WHDXU EILOV
FRP P HUFLDO SDSHU
&DSLWDO P DUNHW RQJ WHUP LQWXP HQW RYHU \HDU ERQGV HTXLWLHV
) RUHLJ QH[FKDQJ H RUH[P DUNHW FXUUHQF\ WDGLQJ
' HULYDWLYHV P DUNHW FRQWDFW EDVHG RQ XQGHUOLQJ DVVHW XXXUHV RSWRQV
VZ DSV

) ,1$1&,$/ ,167580(176
' HEW LQWXP HQW ERQGV RDQV P RUWJ DJ HV
(TXLW LQWXP HQW RUGLQDU\ VKDUHV SUHIHUHQFH VKDUHV
+\ EUG LQWXP HQW FRQYHUWLEOH ERQGV
' HULYDWLYHV RSWRQV XXXUHV RUZ DUGV VZ DSV

7KH QWHUHVW 5DWH
7KH LQWHUHVW LDWH LV WKH SULFH RI ERUURZ LQJ P RQH\ &HQWDO EDQNV VHW D SRQF\ LDWH
H) WKH EDVH LDWH IHGHUDO XQGV LDWH Z KLFK LQ XHQFHV DOORWKHU LDWHV LQ WKH
HFRQRP \ KHQ WKH FHQWDO EDQN LDLVHV LDWHV ERUURZ LQJ EHFRP HV P RUH
H[SHQVLYH FRRQJ LQ DWRQ EXW 5RWHQWDO VORZ LQJ URZ WK

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ι ύΥυΥϖΫχυϹ□ϖύϖϰϊ θυ□χΚβϢFυϊ ϰ□□□□□□φ ύΥυΥϖΫχΗϊ □ύΥϖϰύϰΟϰΗ□□φυΥΚύ□
ϖϰφυϹΫχΗϊ □ΚΥθΫυΥύύ□□□□□□φ ύΥυΥϖΫχΗϊ □φΗΥΚύ□□ωϊ Υϊ ü ΥΗϊ □
ο ΄ΥΥωΫχΗϊ □□χυβϢϰΥΗϊ □□□□□□φ ύΥυΥϖΫχΗϊ □ύΥϖϰφΟθϊ ΥϰΗ□□ωΥβψΫχΗϊ □
ωΥβϊ χΗϊ □□ωϊ φύχυϰύχΗ□□λϊ ΥϰφυβΥΗώ□φυΥΚ□Οϖϰυ Υυχβύχυϊ ϰ□φυόΫχΟϢ
ϖϰυχΚΟ□□ □ΚβϢFϊ χΟϢ□ϖϰυχΚΟ□ΫφΫϹϊ Υϰυ□χβύϹϢϰ ΟϢ□Υυ□χϖϢ□ϢΚΥΥΫθύΚΟ□

3URIHVVLRQDO□9RFDEXODU\ □□

δφΎρ ϊ ωωύΎΥυβλΥυΟ[βϊ Κ,ωύΚυ

7KLV□P RGXOH□FRYHUV□□□□SURIHVVLRQDO□WHUP V□

: RUG□□□7HUP	' H□QLWLRQ□□(1□	7UDQVODWLRQ□□58□	([DPSOH
□QDQFLDO□\ VWDP □□□	7KH□QHWZ RUN□RI□LQWHUXXWLRQV□P DU□□□	ρ ύΥυΥωΎχυΟ[ωύωΓ□□□	$□VWDEOH□QDQFLDO□□□
□QDQFLDO□LQWHUP □□□	$Q□LQWHUXXWLRQ□WKDW□FKDQQHOV□XQG□□□	ρ ύΥυΥωΎχΎώ□ΎΥωΓ□□□	%DQN□DUH□WKH□P R□□□
FHQWUDO□EDQN□□Q□□	7KH□LQWHUXXWLRQ□LHVSRQVLEOH□RUP □□□	ς ϊ Υχφυβλ ΥΎώ□□□□	7KH□LDMRQDO□%DQ□□□
FRP P HUFLDO□EDQ□□□	$□EDQN□WKDW□DFFHSW□GHSRVLW□DQ□□□	Κ,Υθ ϑ ϊ φΓϊ ωΚύώ□□□□	+DQ□N□%DQN□LV□WKH□□□
P RQHWDU\ □SRQF\ □□□	&HQWUDO□EDQN□DFWRQV□WR□P DQDJ H□□□□	ωϊ Υϊ ϋ Υ ΎΚφϊ ωύχ□□□□	7LJ KW□P RQHWDU\ □S□□□
LQWHUHVW□UDWH□□Q□□	7KH□FRVW□RI□ERUURZ LQJ □P RQH\ □H□□□	Ϋφ ΎΥς ϊ Υχ ΥυΟ[ωχ□□□	$□LLVH□LQ□LQWHUHVW□□□□
EDVH□UDWH□□Q□□	7KH□NH\ □SRQF\ □UDWH□VHW□E\ □D□FHQW□□□	φυόΎχυΟ□□Κβ ωΓϊ χ□□□	7KH□L % □UDLVHG□W□□□
LQ□DWRQ□□Q□□	7KH□] HQHUDO□LQFUHDVH□LQ□SULFHV□R□□□	ύΥρ βΟ[ς ύΟ	7KH□FHQWDO□EDQN□□□□
GH□DWRQ□□Q□□	$□] HQHUDO□GHFUHDVH□LQ□SULFHV	ωϊ ρ βΟ[ς ύΟ	' H□DWRQ□FDQ□W□□ □□□
P RQH\ □VXSSO□□Q□□	7KH□WRWDO□DP RXQW□RI□P RQH\ □FLUFX□□□	ωϊ Υϊ ϋ ΥυΟ[θ υωωυ□□□	4XDQWLWDWLYH□HDVH□□□
OLT XLGLW□□Q□□	7KH□HDVH□Z LWK□Z KLFK□DVVHWV□FDQ□□□□	βύΚχύωΥΎωχλ	&DVK□LV□WKH□P RVW□□□
VROYHQF\ □□Q□□	7KH□DELOLW□WR□P HHW□RQ □WHUP □□Q□□□	Ϋβυχϑϋ ϊ ωΫΎωΎφΥ□□□	$□EDQN□P XVW□HP □□□

: RUG□□7HUP	' H□QLWRQ□□(1□	7UDQVODWRQ□□58□	([DP SOH
FDSLWDOP DUNHW□□□	0 DUNHW□RUJDRJ □WLUP □□QDQFLDOL□□□	*φ□ΥΚύ□Κυ Ÿύχυβυ*	*&RP SDQLHV□LDLVH□□□*
P RQH\ □P DUNHW□□□	0 DUNHW□RUJVKRUWWUP □□QDQFLDO□□□	*ωϊ Υϊ ü Υ□ϊ □φ□ΥΚύ*	*7KH□P RQH\ □P DUN□□*
VWRFN□H[FKDQJ H□□□	$ Q□RJ DQLVHG□P DUNHW□Z KHUH□VKDU□□□	*ρ ΎΥωΎχυΚ□φύφü υ*	*7KH□$,) &□□$ VWDQD□□*
ERQG□□Q□□	$□GHEW□WHFXUW□LVXHG□E\ □ RYHU□□□	*Ύφβύψυςύ Κ*	** RYHUQP HQW□ERQ□□*
HTXLW□□Q□□	6KDUHV□LQ□D□FRP SDQ\ □RZ QHUVKLS□□□	*υΚςύΥΥϊ φΥ□ώ□Κυ□□*	*(TXLW□LQYHVWRUV□V□□*
GLYLGHQG□□Q□□	$□SRUWRQ□RI□FRP SDQ\ □SUR□W□GLV□□□	*ωύχύωϊ Υω*	*7KH□FRP SDQ\ □SDL□□*
\ LHOG□□Q□□	7KH□LQFRP H□LHVXUQ□RQ□DQ□LQYHVW□□	*ώΥΎΥωΥΎΥωχ*	*7KH□ERQG□ LHOGV□□□*
ULVN□□Q□□	7KH□SRWHLOW□RI□RVW□RU□XQGHUS□□□	*φύωΚ*	*+LJ KHU□ULVN□VKRXOG□□*
UHWXUQ□□Q□□	7KH□ DLQ□RU□RVW□RQ□DQ□LQYHVW□ H□□□	*ώΥΎΥωΥΎΥωχ□Ÿφύ□□*	*7KH□SRUWRO□R□DFKL□□*
SRUWRO□R□□Q□□	$□FRO□HFW□RQ□RI□□QDQFLDO□LQYHVW□ □□□	*ύΥχϊ ωχύςύΎΥΥ□□□*	*' LYHUV□FDWRQ□LH□□*
GLYHUV□FDWRQ□□□	6SUHDGLQ□LQYHVW□ HQW□DFURVV□GL□□□	*ωύχϊ φωύρύΚυςύΚ*	*' LYHUV□FDWRQ□LV□□□*
FUHGLW□ULVN□□Q□□	7KH□ULVN□WKDW□DERUURZ HUZ LOO□GHI□□□	*Κφϊ ωύχΥ□ώ□φύωΚ*	*%DQN□FKDUJ H□KLJ □□*

:□ RUG□□7HUP	'□H□QLWRQ□□(1□	7UDQVODWRQ□□58□	([DPSOH
P□DUNHW□LLVN□Q□□	7KH□LLVN□RI□RVVHV□GXH□WR□P□RYHP□□□	*φ□Υ□Υ□F□Υ□ώ□φύ□ϰ□*	*0□DUNHW□LLVN□LQFOX□□□*
V\□VWRP□LF□LLVN□Q□□	7KH□LLVN□WKDW□DLOXUH□RI□RQH□LQVWUXP□□□	*ϰύ□ϰ□ϊ□θ□Υ□ώ□φύ□ϰ□*	*7KH□□□□□□□QDQFL□□□*
KHGJ□H□Y□Q□□	7R□LHGXFH□LLVN□E\□WDNLQJ□DQ□R□VH□□□	*ζϊ□ωϋ□ύ□φ□Υ□χ□υ□ϰ□ϰ□□□ζ□□□*	*&RP□SDQLHV□KHGJ□□□*
GHLLYDWLYH□Q□□	$□□QDQFLDO□FRQWDFW□WZ□KRVH□YDOXH□□□	*Ϋ□φ□Υ□ύ□ό□χ□Υ□ω□Υ□Υ□ώ□φ□ύ□□□*	*2□SWRQV□DQG□XVXU□□□*
RSWRQ□Q□□	7KH□LLJ□KWW□EXW□RQ□RW□REOJ□DWRQ□WR□□□□	*Υ□Υ□ς□ύ□Υ□Υ*	*$□FDOO□RSWRQ□LYH□□□*
IXWXUHV□FRQWDFW□□	$QDJ□UHHP□HQW□WR□EX\□RU□VHOO□DQ□□□□□	*φ□ϰ□ω□Fϊ□φ□ϖ□Υ□Υ□ώ□ϰ□Υ□□□*	*2LO□SURGXFHUV□XVH□□□*
VZDS□Q□□	$QDJ□UHHP□HQW□WR□H[FKDQJ□H□QD□□□	*ϖ□χ□Υ□Υ*	*$QO□LQWHUHVW□DWH□V□□□*
OHYHUDJ□H□Q□□	8VLQJ□ERUURZHG□P□RQH\□WR□LQFUHD□□□	*φ□ύ□Υ□υ□Υ□ϖ□Υ□χ□Υ□ώ□φ□Υ□□□*	*+LJ□K□OHYHUDJ□H□DP□□□*
J□HDULQJ□□Q□□	7KH□LDWR□RI□GHEW□WR□HTXLW□LQ□D□F□□□	*ϰ□Υ□ω□φ□φ□ύ□ς□ύ□ϊ□Υ□χ□ϰ□φ□□□*	*+LJ□K□HDULQJ□P□H□□□*
FUHGLW□LDWLQJ□□Q□□	$QDVVHVVP□HQW□RI□D□ERUURZHUJ□F□□□	*ϰ□φ□ϊ□ω□ύ□χ□Υ□Υ□ώ□φ□ϊ□ώ□□□*	*0RRG\□V□6□3□DQ□□□*
GHIDXOW□Q□Y□□	)DLOXUH□WR□UHSD\□D□GHEW□DV□DJUHHG	*ω□ϊ□φ□Υ□Β□χ□□ω□Υ□Υ□φ□ϰ□□□*	*$□VRYHUHLJQ□GHIDX□□□*
TXDQWLWDWLYH□HD□□□	&HQWDO□EDQN□SRO□F\□RI□EX\LQJ□DV□□□	*ϰ□Υ□Β□ύ□Fϊ□ϖ□χ□ϊ□Υ□Υ□Υ□□□□□*	*7KH□HG□XVHG□TX□□□*

: RUG[7HUP	' H[QLWLRQ[(1[	7UDQVODWLRQ[58[	([DP SOH
[VFDO[SRQF\[Q[	* RYHUQP HQW[GHFLVLRQV[RQ[WD[DW[	ρ ύ¤Κυβ ϑ Υυ Ο[Ϋ Υβ[	([SDQVLRQDU\[VF[
*' 3[DEEU[	* URVV[RP HVWLF[3URGXFW[[VRVDO[	XXδ[[χυβ Υχ Υώ[	. D] DNKVWDQ[V[*' [
H[FKDQJ H[LDWW[	7KH[SUFH[RI[RQH[FXUUHQF\[LQ[WHU[	Υφϑ ϊ ΥΥ ϑώ[ΚΟφ¤	$[Z HDNHU[WWQ H[
IRUH[[Q[	) RUHLJ Q[H[FKDQJ H[P DUNHW[[Z K[	ρ Υφϊ Κ¤[χυβ ωϑ Υ[	7KH[RUH[[P DUNHW[
,32[DEEU[	,QLWDO[3XEOLF[2 [HUQJ [[UWW[DOH[	,32[[Ϋϊ φχύ Υ Υ[	7KH[FRP SDQ\[LDL[
0 [$[DEEU[	0 HU J HUV[DQG[$ FTXLVLWRQV[[FRP [	¤Βύ Ο Υύ Ο[ύ[Ϋ Υφβ Υ[	0 [$[DFWXYLW[LQ FU[
YDOXDWRQ[Q[	7KH[SURFHVV[RI[GHWUP LQLQJ [WKH[	Υς ϊ ΥΚυ[¤ϑ Υύ ϑ Υ¤ϑύ	' &) [DQDO VLV[LV[D[
' &) [DEEU[	' LVFRXQWG[&DVK[) OZ[[D[YDOXD[	ϑ ϊ ϑ Υω[ωύ¤Κ ΥΥϑύ[	' &) [YDOXDWRQ[LH[
XQGHUZ ULWLU[Q[	$[QDQFLDO[LQVWUXXWRQ[WKDW[XDUD[	υ Υωϊ φφυώϑϊ φ	* RGP DQ[6DFKV[D[
SURVSHFWKV[Q[	$[PHJ DQ[GRFXP HQW[SURYLGLQJ [GHWD[	Ϋφ Υ¤Ϋϊ Κϑ[ωϑ ύ¤¤ύ	,QYHVWRUV[VKRXOG[
EHQFKP DUN[Q[	$[WDQGDUG[LQGH[[XVHG[WR[HYDOXD[	ωϑυβ ΥΥ ύ Υωϊ Κ¤[Υ[	7KH[6 [3[[LV[D[
DVVHW[P DQDJ HP [	3URIHVVLRQDO[P DQDJ HP HQW[RI[LQY[	ΟΫφυχβϊ Υύϊ υΚϑ[	%DFN5RFN[LV[WKH[

&DVH 6WXG\ 7KH * OREDO &ULVLV &RQVHUYDWLRQ &RQFHSW &RQVLVWHQW &RQFHSWXDO &RQWUDGLFWLRQ &RQFHSWXDO &RQWUDGLFWLRQ &RQFHSWXDO &RQWUDGLFWLRQ

([HUFLVHV□□□ϑϋφυϋ ϋϊ ϋύϢ

([HUFLVH□□□0 DVWK□VKH□□QDQFLDO□VWDWP □Z LWK□LW□FRUUHFW□GHVFULSWRQ□

0 DVWK□VKH□□QDQFLDO□VWDWP □Z LWK□LW□FRUUHFW□GHVFULSWRQ□

□Ζ ϋϋχϋϊ ωύχϊ □χϊ φϑύϋ□ϖ□ϋϋφϊ ωϊ βϊ ϋύϊ ϑ□□

- □□□□%RQG□□□

: ULVLQJ □LQ□/ DZ □□ □/ HJ DO□6WXGLHV

3URIHVVLRQDO□Z ULVLQJ □LQ□(QJ OLVK□RQ□RZ V□VSHFL□F□FRQYHQWLRQV□%HORZ□DUH□WKH□P RVW LP SRUWDQW□HQUHV□DQG□WXWXFWXUHV□LQ□\ RXU□HOG□

3URIHVVLRQDO□(P DLOV□□Ωï ϐ´ϒχ´ϑï □Ϋúϖϑυ□

(P DLOV□LQ□SURIHVVLRQDO□VHWWLQJ V□RQ□RZ□D□FOHDU□WXWXFWXUH□VXEMHFW□DQH□] UHHWLQJ □ SXUSRVHV□GHWDLOV□FDQ□VR□DFWLRQ□FORVLQJ □

> **58□**
> Ωï ϐ´ϒχ´ϒï □Ϋúϖϑ´ϒ□ϒυ□υϒψϐúώϖϑ´ϒ□□χï ϑυ□□Ϋφúχï ϑϖϑχúï □□ϑï ϐϑ□□ωï ϑυϐú□
> Ϋφúόϑχ□ϑ,□ωï ώϖϑχúω□□φυχï φƒ ï ϒúï □

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6XEMHFW□5HTXHVW□RUJD HHWLQJ

' HDUJD U□RKQVRQ□

,□P □Z ULWLQJ □VR□UHTXHVW□D□P HHWLQJ □VR□GLVFXVV□WKH□4 □UHVXOW□
:  RXOG□\ RX□EH□DYDLODEOH□RQ□7KXUVGD\ □DW□□□□□30 "

. LQG□UHJ DUGV□
><RXU□QDP H@
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3URIHVVLRQDO□5HSRUW□□γ ϑƒFlϑϑϑϑ□

5HSRUW□XVH□FOHDU□KHDGLQJ V□□DFWXDO□DQ□XDJ H□□DQG□RJ LFDO□RJ DQLVDWLRQ□□H[HFXWLYH VXP P DU\□□EDFNJ URXQG□□□QGLQJ V□□DQ□DQ□VLV□□UHFRP P HQGDWLRQV□

> **58□**
> γ ϑƒFlϑϑϑϑ□□φï όω,θï □ω,ϐ□φ□Κ´ϒχ´ϒω□ϖϑχυ□□ύ□ϖ□´ϒω□ϒυ□□ύ□ϒο´ϒφθυς ύ□
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5( 32 57□4 □□) LQDQFLDO□3HUUR P DQFH

( [ HFXWLYH□6XP P DU\
5HYHQXH□LQFUHDVHG□□□□□ □\ HDU□RQ□\ HDU□□□

. H\ □) LQGLQJ V
□□□5HYHQXH□□□ □□□□ □<R<
□□□2 SHUDWLQJ □$UR□W□□ □□□□ □<R<
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3 URQXQFLDWRQ□* XLGH□□□δ φ΄ΥΫόΥ΄ΥΓ ϊ ΥΫϊ

&RUUHFW□SURQXQFLDWRQ□RI□/ DZ□□□/ HJ DO□6 VXGLHV□WUP V□V□HVVHQWDO□RU□SURIHVVLRQDO FUHGLEOLDW/□

58□

δ φυχύβ»ΥΫϊ □ΫΫφΥΫόΥΫΓ ϊ ΥΫϊ □χϊ φθύΥΫχ□χυϋ ΥΫΥ□ωβ ΫφΥ΄ϊ ΫΫφΥΫϊ ΫΫυβ»ΥΫΫΫΥΫυθύωϋ υ□□β ύϋ ϊ □□ □χύΫΫύ FΥΫ΄ϊ □χφΫ΄ωΥΫΫΫχύ□

□□□0 XOWL\ CDDEOH□VWUHVV□DF□&2 8 1 7□LQJ □□□□1 $1&(□□□),□QDQFH□P DQ□$*(□P HQW

□□□6LOHQW□DWWUV□GHEW□GHW□UHFHLSW□LÕ□L3□VXEWOH□VYW□

□□□%UWWK□YV□$P HUFDQ□VFKHGXOH□□/HGX□3□□□3 . □YV□VNHGX□3□□□3 6□

□□□$EEUHYLDWRQV□□,) 56□□* ' 3□□ □SURQRXQFH□HDFK□DWWUL□QGLYLGXDO□

□□□1 XP EHUV□□□□□ □ □□HJ. KW□SRLQW□YH□SHUFHQW□□QRW□FRP P D□□

&RP SOHWH□3URIHVVLRQDO□* OR VVDU\ □□ δφ΄Υφ ϊ ωαύ΄ΥΥυβ ΄ΥΗώ□ψβ΄Υωαυφύώ

□□VWUP V□DOSKDEHWFDO□

DVVHW□P DQDJ HP HQW□ □ΟΫφυχβϊ Υύϊ □υΚ□ύχυθ ύ□3URIHVVLRQDO□P DQDJ HP HQW□RI LQYHVW□ HQW□RQ□EHKDO□RI□FOHQW

EDVH□LDWH□□ □φυό΄Υχυ□□Κβω Fϊ χυ□□ωυχΚυ□□7KH□NH\ □SROF\ □LDWH□VHW□E\ □D□FHQWDO EDQN□LQ□XHQFLQJ □DOORWKHU□LDWHV

EHQFKP DUN□□ □ωυβ΄ΥΥ□ύΥωϊ Κω□΄Υφύϊ Υ□ύφ□□$□WDQGDUG□LQGH[□XVHG□WR□HYDOXDWH LQYHVW□ HQW□SHUURUP DQFH

ERQG□□ □΄Υφβύψυς ύ□□$□GHEW□VHFXULW□LVXHG□E\ □J RYHUQP HQW□RU□FRUSRUDWRQV□WR ERUURZ□P RQH\□URP □LQYHVWRUV

FDSLWDO□P DUNHW□□ □φΗΥΚύ□Κυ΄ύ□υβυ□0 DUNHW□IRU□ORQJ □WHUP □□QDQFLDO□LQVWXP HQW □ERQGV□□HTXLWLHV□

FHQWDO□EDQN□□ □ς ϊ Υ□φυβ΄ΥΗώ□φυΥΚ□□7KH□LQWHUXVWRQ□UHVSRQVLEOH□IRU□P RQHWDU SROF\□DQG□FXUUHQF\□LVXDQFH

FRP P HUFLDO□EDQN□□ □Κ΄Υ9 9ϊ φFϊ ωΚύώ□φυΥΚ□□$□EDQN□WKDW□DFFHSW□GHSRVLW□DQG SURYLGHV□ORDQV□WR□LQGLYLGXDOV□DQG□EXVLQHVVHV

FUHGLW□UDWLQJ□□ □Κφϊ ωύ΄Υ΄ΗώΗφϊ ύ΄ΥΨ□□$□Q□DVVHVVP HQW□RI□D□ERUURZ HU□V FUHGLWZ RUWKLQHVV□□HJ □□□$$$□%%%□&&&□

FUHGLW□ULVN□□ □Κφϊ ωύ΄Υ΄Ηώ□φύωΚ□□7KH□ULVN□WKDW□D□ERUURZ HU□Z LOO□GHI DXOW□RQ□D□GHEW REOLJ DWRQ

' &) □□ □9ϊ ΄Υω□ωύωΚ΄ΥΥ΄ύφ΄ΥχυΥΥ΄Η□ωϊ Υϊ ü Υ΄Η□□Ϋ΄Υ΄Υ΄Κ΄Υχ□□ LVFRXQWHG□&DVK□) OR□□ D□YDOXDWRQ□P HWKRG□EDVHG□RQ□SUHVHQW□YDOXH□RI□XWXUH□FDVK□□RZ V

GHI DXOW□□ □ωϊ φ΄Υβ΄Η□ω΄ΥΫΟωΚυ΄Η□ωϊ φ΄Υβ΄Η□□) DLOXUH□WR□UHSD\ □D□GHEW□DV□DJ UHHG

GH□DWRQ□□ □ωϊ φ βΟ΄ύΟ□□$□J HQHUDO□GHFUHDVH□LQ□SUFHV

GHULYDWLYH□□ □Ϋφ΄ΥΥόχ΄ΥωΥΗώ□φ ύΥυΥω΄ΥχΗώ□ύΥω□φΟ9ϊ Υ΄Η□□ωϊ φύχυ΄Η ύχ□□$□□QDQFLDO FRQWDFW□Z KRVH□YDOXH□GHSHQGV□RQ□DQ□XQGHUO\LQJ □DVVHW

GLYHUVL□FDWRQ□□ □ωύχϊ φωύφ ύΚυς ύΟ□□6SUHDGLQJ □LQYHVW□P HQW□DFURVV□GL□HUHQW DVVHW□WR□UHGXFH□ULVN

GLYLGHQG□□ □ωύχύωϊ Υω□□$□SRUWRQ□RI□FRP SDQ\ □SUR□W□GLVWULEXWHG□WR□VKDUHKROGHUV

HTXLW□□ □υΚς ύ΄ΥΥϊ φΥΗώ□Κυ΄ύ΄Η□υβ□υΚς ύύ□6KDUHV□LQ□D□FRP SDQ\ □RZ QHUVKLS□WDNH

H[FKDQJ H□LDWH□□ □΄Υφ9ϊ ΥΥ΄Η□ώ□ΚΟφω□7KH□SUFH□RI□RQH□FXUUHQF\ □LQ□WHUP V□RI□DQRWKHU

□QDQFLDO□LQWHUP HGLDU\□□ □φ ύΥυΥω΄ΥχΗώ□΄Υ΄ωφϊ ωΥύΚ□□$Q□LQVWXXWRQ□WKDW□FKDQQHOV IXQGV□URP □VDYHUV□WR□ERUURZ HUV

□QDQFLDO□V\ VWHP□□ □φ ύΥυΥω΄ΥχυΟ□ωύω□ϊ 9υ□7KH□QHW Z RUN□RI□LQVWXXWRQV□P DUNHW□ DQG□LQVWXP HQW□WKDW□FKDQQHOV□XQGV□WKURXJ K□WKH□HFRQRP \

□VFDOSSRQF\ □□ □ρ ύπΚυθλΥυΟ□ΫΥθύχύΚυ□* RYHUQP HQW□GHFLVLRQV□RQ□VD[DVLRQ□DQG VSHQGLQJ

IRUH[□□ □ρ ΄ΥΦϊ Κπ□□χυθω χΥΗώ□φΗΥΥΚ□□) RUHIJ Q□H[FKDQJ H□P DUNHW□ □Z KHUH FXUUHQFLHV□DUH□ERXJ KW□DQG□VRCG

IXWXUHV□FRQWDFW□ □ρ λω Fϊ φπΫΗώ□ΚΫΥχφυΚχ□$ Q□DJ UHHP HQW□WR□EX\ □RU□VHOD□DQ□DVVHW DW□D□XWXUH□GDW□DQG□SUFH

* ' 3□□ □XXδ□□ □χυθΫΗΧΥώ□χΥΟχφϊ ΥΥύώ□ΫΦΫΥωΟΚχ□* URVV□ RP HVWF□3URGXFW□ □VRVDO YDOXH□RI□ RRGV□DQG□VHUYLFHV□SURGXFHG□LQ□D□FRXQW\

J HDULQJ □□ □ΚΫΥφ ρ ύς ύϊ Υχ□ρ ύΥυΥπΫΧΥΨΥΦΗFυψυ□φφύχ□□□7KH□LDW□R□RI□GHEW□WR HTXLW□LQ□D□FRP SDQ\□V□FDSLWDO□WXFWXUH□8. □WUP □

KHGJ H□□ □Ϛϊ ωϋ ύΦΫΗχυχλ□□Ϛϊ ωϋ ύΦΫΗχυΥύϊ □7R□UHGXFH□ULVN□E\ □VDNLQJ □DQ□R□ VHWWLQJ SRVLWRQ□□D□ULVN□UHGXFLQJ □WWDWJ \

LQ□ DWRQ□□ □ύΥρ θΟΚς ύΟ□□7KH□J HQHUDO□LQFUHDVH□LQ□SUFHV□RYHU□WP H□□UHGXFLQJ SXUFKDVLQJ □SRZ HU

LQWUHVW□UDW□□ □ΫΦΫΚς ϊ Υχ□ΥυΟ□πχυχΚυ□□7KH□FRW□RI□ERUURZ LQJ □P RQH\ □H[SUHVVHG□DV D□SHUFHQWDJ H□SHU□\ HDU

,32□□ □,32□□ □ΫΫϊ φχύΦΥΫΥ□ΫΟφθύΦΥΫΥ□φυόϑϊ ϟ ϊ Υύϊ □υΚς ύώ□,QLWDO□3XEOF□2□HULQJ □ □□UW□WDO□RI□D□FRP SDQ\□V□VKDUHV□WR□WKH□SXEOF

OHYHUDJ H□□ □ρ ύΥυΥπΫΧΥώ□φΗΥΦυψ□βϊ χϊ φύωϋ □8VLQJ □ERUURZ HG□P RQH\ □WR□LQFUHDVH WKH□SRW□QWDO□UHWXUQ□RQ□LQYHVW7 HQW

OTXLGLW□□ □βύΚχύωΥΫπΫπχλ□□7KH□HDVH□Z LWK□Z KLFK□DVVHW□FDQ□E H□FRQYHUWHG□WR□FDVK

0□$□□ □πβύΟΥύΟ□ύΫΥΨβΫϟ ϊ ΥύΟ□□0□$□□0 HJ HUV□DQG□$FTXLVLWRQV□□ □FRP ELQLQJ □RU WDNLQJ □RYHU□FRP SDQLHV

P DUNHW□UL VN□□ □φΗΥΫΥΗΥΗώ□φύπΚ□□7KH□UL VN□RI□RVVHV□GXH□WR□P RYHP HQW□LQ□P DUNHW SUFHV

P RQHWDU\□SRQF\ □□ □ωϊ Υϊ ü ΥΫΚφϊ ωύχΥυΟ□ΫΥθύχύΚυ□&HQWUDO□E DQN□DFWRQV□WR P DQDJ H□P RQH\□VXSSO□DQG□LQWUHVW□UDW□V

P RQH\□P DUNHW□□ □ωϊ Υϊ ü ΥΗϊ □φΗΥΚύ□□0 DUNHW□IRU□VKRUW□WUP □□QDQFLDO LQVWXP HQW□□XQGHU□□□\ HDU□

P RQH\□VXSSO□□ □ωϊ Υϊ ü ΥυΟ□9υπωυ□ΫΦϊ ωθΫΫ ϊ Υύϊ □ωϊ Υϊ ψ□7KH□VRVDO□DP RXQW□RI P RQH\□FLUFXODWLQJ □LQ□DQ□HFRQRP \

RSWRQ□□ □ΫΫς ύΫΫ□7KH□UJ KW□EXW□QRW□REOJ DWRQ□WR□EX\ □RU□VHOD□DQ□DVVHW□DW□D□VHW SUFH

SRUWRQR□□ □ύΥχϊ πχύς ύΫΫΥΗώ□ΫΫφχρ ϊ θλ□□$□FRQHFWRQ□RI□□QDQFLDO□LQYHVWP HQW KHOG□E\□DQ□LQYHVWRU

SURVSHFWXV□□ □ΫΦΫπΫϊ Κχ□ω9ύπωύ□□$□OHJ DO□GRFXP HQW□SURYLGLQJ □GHWDLO□RI□D VHFXUWLHV□R□HULQJ □WR□SRW□QWDO□LQYHVWRU

TXDQWWDWLYH□HDVLQJ □□ □ΚΫΒύΦϊ πχϊ ΥΥΫΫ□πϑΟΨϊ Υύϊ □&HQWUDO□E DQN□SRQF\□RI EX\ LQJ □DVVHW□WR□LQ□WFW□P RQH\□LQ□WKH□HFRQRP \

**ULHVXUQ□□ □ω΄ΥΓΎωΥΎΥΥΥ

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0 RGXOH 7KH) LQDQFLDO 6\ VWHP

([HUFLVH

- VHH DQVZ HU VKHHW
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3URIHVVLRQDO5HVRXUFHV

) LQDQFLDO7LP HV WFRP DXWKHQWLF QDQFLDO1RXUQDOVP IRU&EHYHO

%RRP EHUJ EORRP EHUJ FRP UHDOWLP H P DUNHWGDWD DQG DQDO\VLV

&) $ QVWLWXWLRQ FIDLQVWLWXWRUJ UHV WXG\ P DWULDOV

QYHVWRSHGLD) LQDQFH $FDGHP \ VWXFXUHG QDQFH FRXUVHV

. +$0 $' ,(1*/,6+) LQDQFH) DVKFDUG HFN WUP V